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Moderna (MRNA): Sell

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The pipeline is real, but the price ran ahead of the math. After a 724% twelve-month rally, the market prices a 122% five-year revenue CAGR. We see 59% downside to our $88 base case.

Sell	$88	$216	-59%
RATING	BASE TARGET (BLENDED $94)	SPOT (OCT 13, 2026)	DOWNSIDE TO BASE

$20 / $181	8.8%	122%	$8.0B	1.09	399M
BEAR / BULL TARGETS	YEAR-1 WACC	MARKET-IMPLIED 5-YR CAGR	PRO FORMA CASH	LIVE BETA	DILUTED SHARES

Executive summary

We rate Moderna **Sell** with an $88 base-case target (blended $94). This is a valuation call, not a science call. The mRNA platform is genuine, the INT oncology program partnered with Merck could be transformative, and the balance sheet holds roughly $8 billion in pro forma cash after the September convertible raise. None of that is in dispute.

What is in dispute is the price. At $216, Moderna carries an $86 billion market cap, up 724% in twelve months. Our five-year DCF, underwriting revenue growth from $1.0 billion in 2026 to $8.0 billion in 2030 on successful CMV and INT melanoma launches, with free cash flow margins normalizing to 28%, discounted at a live 8.8% WACC decaying with beta, yields Bear $20, Base $88, Bull $181. Even our bull case sits 16% below the current price.

> **Our read:** the reverse DCF is the whole thesis. To justify $216, the market must believe Moderna compounds revenue at 122% annually for five years, taking revenue from $1 billion to over $40 billion. Our bull case, which assumes INT expands beyond melanoma, reaches $13 billion by 2030. The market is pricing more than triple our bull case.

Base-case assumptions

INPUT	BEAR	BASE	BULL
2030 revenue ($B)	2.5	8.0	13.0
2030 FCF margin	15%	28%	38%
2030 FCF ($B)	0.5	2.6	5.5
Target per share	**$20**	**$88**	**$181**

WACC 8.8% Year 1 (beta 1.09 decaying to 0.85 mature biopharma; 10Y + beta x implied ERP). Terminal growth 2.0%. Net cash $3.8B (debt $4.2B incl. $3B converts; cash $8.0B pro forma). 399M diluted shares (Q2 2026 10-Q).

Bull case: $181 INT BREAKS OUT

If the October INT melanoma data is strong, the Merck partnership accelerates, and INT expands to non-small cell lung cancer and additional solid tumors, Moderna reaches $13 billion in 2030 revenue with 38% free cash flow margins as oncology carries higher margins than retail vaccines. The $3 billion convertible raise funds the build without further dilution. Our bull case is worth $181. Note the implication: even if the pipeline delivers beyond our optimistic assumptions, the stock is 16% overvalued at $216.

Bear case: $20 PIPELINE STALLS

INT data disappoints, CMV faces regulatory delays, and the respiratory franchise continues eroding against GSK and Pfizer. Revenue reaches only $2.5 billion by 2030, cash burn continues, and the $3.8 billion net cash position erodes. The converts, struck at $210.58, create dilution overhang. Worth $20, or 91% below spot.

Verdict

We rate MRNA Sell. The October INT readout is a genuine binary catalyst, and we underwrite pipeline success in our base case. But the $216 price demands 122% annual revenue growth for five years, a trajectory no biotech has ever sustained from a $1 billion base. With $3.8 billion in net cash, the downside is cushioned, but the upside requires flawless execution on every program simultaneously. We would get constructive near our $88 base case.

What would change our mind

- **Price:** a 55%+ decline toward $85-95 would put the stock within reach of our base case.
- **INT data:** October melanoma readout showing clear survival benefit would force us to raise bull-case penetration.
- **Partnership economics:** Merck expanding the INT collaboration with meaningful milestones would de-risk the oncology ramp.

Key themes

1. October INT data is the binary event ACCELERATING

The individualized neoantigen therapy readout in high-risk melanoma, partnered with Merck, is the most important near-term catalyst. Positive data validates the entire oncology platform and opens expansion to additional tumor types. Negative data would reset expectations across the pipeline.

2. The balance sheet was fortified with converts STABLE

The September $3.0 billion zero-coupon convertible raise (due 2032, conversion at $210.58) extended the cash runway without current interest expense. Pro forma cash approaches $8 billion against $4.2 billion in total debt. The converts create 14.25 million shares of potential dilution, partially offset by capped calls to $392.62.

3. Respiratory is stabilizing but not growing STABLE

Q2 revenue of $145 million was up 2% year over year, with Spikevax decline offset by collaboration revenue. The $3-4 billion annual respiratory baseline in the research note looks optimistic against current run rates; our model uses $1.0 billion for 2026.

4. The $950M settlement is behind them STABLE

The Arbutus/Genevant patent settlement ($950 million paid in Q3 2026) removes a legal overhang but consumed over 10% of the cash position. Up to $1.3 billion in additional exposure remains pending appeal.

5. The rally front-ran the fundamentals DECELERATING

Up 724% in twelve months on pipeline optimism, the stock now prices in flawless execution. Our reverse DCF shows the market implies 122% revenue CAGR, more than triple our 16% bull-case CAGR. Momentum, not estimate revision, drove the move.

Other KPIs

METRIC	VALUE
Market cap (at $216)	$86B
Enterprise value	$82B
Q2 2026 revenue / YoY	$145M / +2%
Q2 2026 net loss	($782M)
TTM free cash flow	($1.24B)
Cash / debt (pro forma)	$8.0B / $4.2B
Beta (live)	1.09

Guidance

Management targets operating cash flow breakeven by 2028, contingent on CMV and INT launches. R&D was cut $1.1 billion annually to extend runway. Q3 2026 results are the next scheduled update; the October INT data readout is the key stock-moving event.

Justin Wen Equity Research — Not investment advice and for entertainment purposes only.

Reverse DCF: what the market is pricing in

At $216, Moderna carries an $86 billion market cap and an $82 billion enterprise value (net of $3.8B cash). Holding a 28% normalized FCF margin flat and discounting at the live 8.8% WACC with 2.0% terminal growth, the market-implied five-year revenue CAGR is **122%**.

SCENARIO	IMPLIED/ASSUMED 5-YR CAGR	TARGET
Market-implied	122%	$216 (spot)
Bull case	~67%	**$181**
Base case	~52%	**$88**
Bear case	~20%	**$20**

A 122% CAGR takes revenue from $1 billion to over $40 billion by 2030, larger than the entire current mRNA vaccine market several times over. Our bull case reaches $13 billion on successful INT expansion. The gap between $13 billion and $40 billion is pure multiple expansion and momentum. That gap is the sell thesis.

Model

Full three-scenario DCF with live CAPM, beta decay, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1t7IokGW1TwB2Jo9jhPZhdEFoMN3nre8_fYhgd9aSrvA/edit?usp=drivesdk

Risks to our Sell

- October INT melanoma data shows transformative efficacy, forcing a pipeline re-rating.
- Merck expands the collaboration with significant economics, validating the platform.
- CMV vaccine approval accelerates, adding a near-term revenue leg.
- Takeout: at $82B EV, Moderna is a plausible acquisition target for large pharma seeking mRNA capability.